which undoubtedly lead to growth. Here, we have learned a lot from work by Abhijit Banerjee of MIT, Michael Kremer at Harvard, and their students, as well as from the World Bank, including its *World Development Report 2004*.

We know that providing services to the poor isn't just about money. One can build spanking new schools and pay teachers a good wage, yet they may not come in to teach. One can provide free drugs to the hospitals, intended for the poor, but the druggist may simply sell them on the black market. This is not to say that schools and hospitals aren't necessary, but bricks and mortar are often the easy part. Policy makers also need to create the right incentives for the service provider and the poor client, as well as the right allocation of power and information between them to ensure that reasonable quality services are provided.And we know that the law of unintended consequences is always at work. This means that few programmes ever operate as the designers intended, so we need abundant experimentation, frequent monitoring and evaluation, and a sharing of best practices so that these targeted interventions can have their intended effect.

Unfortunately, I am not sure that even if each micro-intervention works well by itself, they will all work well together. Interventions could affect each other and come in each other's way or vie for the same resources. They could also have adverse spillover effects on the rest of the economy.

The last is not just a possibility. Suppose a lot of aid flows in to support interventions in education, health care, and other social services. The recipient country quickly hires many educated workers as teachers, clerks, nurses, foremen (to build the schools), engineers, and government and aid administrators. Because well-educated people will be in high demand, their wages will tend to rise and may well go